



DELHI PUBLIC SCHOOL NEWTOWN
SESSION 2022–23
PRE BOARD EXAMINATION

CLASS : X
SUBJECT : ECONOMIC APPLICATIONS (SET-A)

FULL MARKS : 100
TIME : 2 HOURS.

Answers to this Paper must be written on the paper provided separately.

You will not be allowed to write during the first 15 minutes.

This time is to be spent in reading the question paper.

The time given at the head of this Paper is the time allowed for writing the answers.

Attempt all questions from Section A and any four questions from Section B. The intended marks for questions or parts of questions are given in bracket [].

This paper consists of five printed pages

SECTION A

(Attempt all questions)

Question 1

[20]

Choose the correct answers to the questions from the given options.

- i. Which is the APEX bank in India?**
 - a) State Bank of India
 - b) Bank of Baroda
 - c) Indian Overseas Bank
 - d) Reserve Bank of India.
- ii. Name the type of deposit in which bank pays no interest, but rather charges for their services rendered.**
 - a) Savings deposit
 - b) Overdraft
 - c) Fixed deposit
 - d) Current deposit
- iii. Find the odd one out:**
 - a) Recurring Deposit Account
 - b) Fixed Deposit Account
 - c) Overdraft Facility
 - d) Current Account
- iv. When the general price level of the economy increases at the rate of about 5-6% per annum is called**
 - a) Galloping Inflation
 - b) Running Inflation
 - c) Walking Inflation
 - d) Creeping Inflation

- v. **Effects of inflation on debtors**
 a) **Gain**
 b) **Loss**
 c) **No effect**
 d) **All of these**
- vi. **When the rate of taxation increases as the tax payer's income increases**
 a) **Degressive Tax**
 b) **Regressive Tax**
 c) **Proportional Tax**
 d) **Progressive Tax**
- vii. **The demand for a commodity by an individual consumer or a household is called:**
 a) **Individual Demand**
 b) **Market Demand**
 c) **Both of these**
 d) **None of these**
- viii. **There are three consumers of milk, namely Rajesh, Vishal and Raju in the market whose individual demands at a price of ₹40 per kg are 3, 2 and 1 litre per day respectively, the market demand will be.....**
 a) **5 litres**
 b) **4 litres**
 c) **6 litres**
 d) **3 litres**
- ix. **The goods which can be used in place of the another are called**
 a) **Complementary goods**
 b) **Substitute goods**
 c) **Both of these**
 d) **None of these**
- x. **In Economics, "not only the surface of the earth but all those free gifts of nature, the supply of which can be regulated" is called.....**
 a) **Land**
 b) **Labour**
 c) **Capital**
 d) **None of these**
- xi. **There is a _____ relationship between price and quantity demanded.**
 a) **Positive**
 b) **Negative**
 c) **Constant**
 d) **Direct**
- xii. **A mine shaft that has to be bored to extract some mineral ore is an example of**
 a) **Sunk capital**
 b) **Floating capital**
 c) **Money capital**
 d) **None of the above**

- xiii. The formula for calculating elasticity of demand is:
- (-) The % change in price over the % change in quantity demanded
 - (-) The % change in quantity demanded over the % change in price
 - (-) The change in price over the change in quantity demanded
 - (-) The change in quantity demanded over the change in price
- xiv. Which of the following market types has all firms selling products so identical that buyers do not care from which firm they buy?
- Perfect competition
 - Oligopoly
 - Monopolistic competition
 - Monopoly
- xv. Due to installation of a machine with latest technology the cost of production has decreased. It will lead to:
- Expansion in supply
 - Increase in supply
 - Contraction in supply
 - Decrease in supply
- xvi. The government of India is the single buyer of War-ships and other War-heads. Identify the market form:
- Monopoly
 - Oligopoly
 - Monopolistic competition
 - Monopsony
- xvii. Demand for any factor of production is the example of ____.
- Joint demand
 - Composite demand
 - Derived demand
 - Elasticity of Demand
- xviii. The work of an actor in a movie is the example of:
- Hobby
 - Labour
 - Passing of leisure time
 - Social action
- xix. When supply price increases, the profit of the producer ____.
- Increases
 - Decreases
 - Remains constant
 - Decreases marginally
- xx. A consumer purchased 10 units of a commodity when its price was ₹ 5 per unit. He purchases 12 units of the commodity when price falls to ₹4 per unit. What is the price elasticity of demand?
- 3
 - 2
 - 1.25
 - 1

Question 2

- i. Explain any two causes for the leftward shift of supply curve. [2]
- ii. Discuss two differences between a central bank and a commercial bank. [2]
- iii. 'More of a commodity is demanded at the same price.' Does it indicate change in demand or change in quantity demanded? Explain. [2]
- iv. What is income elasticity of demand? [2]
- v. Define money. [2]

Question 3

- i. Explain any two merits of direct tax. [2]
- ii. What is a public sector enterprise? Give two examples of public sector enterprise in India. [2]
- iii. Define Fiscal Policy. [2]
- iv. What is meant by 'labour' in Economics? [2]
- v. Who is an entrepreneur? [2]

SECTION B

(Answer any four questions from this Section)

Question 4

- i. What is a bank? Explain how commercial banks provide credit facilities through the methods given below: [7]
 - a) Cash credit
 - b) Outright loans
 - c) Overdraft facility
- ii. Explain two primary functions and two secondary functions of money. [8]

Question 5

- i. What is meant by industrialization? Explain three impacts of industrialization on the environment. [7]
- ii. Draw and explain the following degrees of elasticity of supply : [8]
(a) $e_s = \infty$, (b) $e_s > 1$, (c) $e_s = 1$, (d) $e_s < 1$

Question 6

- i. Define productivity of land. Explain any three factors affecting the productivity of land. [7]
- ii. What is demand? Explain how demand for a commodity will be affected by (a) Prices of related commodities, (b) Income of the consumer (c) Price expectations [8]

Question 7

- i. Why is capital called a 'produced means of production'? Explain any three characteristics of capital. [7]
- ii. Discuss any four functions of an entrepreneur. [8]

Question 8

- i. What is meant by product differentiation? Explain any four features of that market in which it is relevant. [7]
- ii. Discuss any four ways by which an entrepreneur can promote economic development. [8]

Question 9

Read the extract given below and answer the questions that follow:

Automotive Process

The stages of manufacture of a car is broken down into several stages. In the modern economy, cars are put together on an assembly line, which may be more than a mile in length, with workers stationed at many points along it. The car starts off as just a body shell, and components are added as the vehicle is moved along the line. Each worker performs one task, such as fitting the wheel or installing the rear lights. At the end of the line a completed car emerges.

- i. (a) What do you mean by division of labour? [7]
 (b) Explain any two advantages of division of labour.
 (c) Differentiate between horizontal and vertical division of labour.
- ii. Give four reasons in favour of privatization of public sector enterprises. [8]